

German GDP (Q2 26, detailed)

Economics - Data Reactions

Net trade and government the main drivers in H1

Germany

- ◆ The Germany economy rose a stronger than expected 0.3% q-o-q in Q2 on the back of surging exports
- ◆ On the investment side, the private sector remains reluctant to spend despite tax incentives, while government investment rebounded
- ◆ The strong GDP prints and past upward revisions pose a clear upside risk to our full-year GDP forecast of 0.2% for 2026

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Facts

- In Q2, German GDP expanded by 0.3% q-o-q, slightly higher than published in the flash release (+0.2% q-o-q). The y-o-y rate accelerated to 1.0% (from 0.7% in Q1).
- The biggest positive contribution came from net exports (0.2ppts), as exports rose by 2.0% q-o-q (on top of a 2.4% q-o-q increase in Q1), while imports grew by 1.5% q-o-q (+0.5% q-o-q in Q1). Government consumption slowed from +0.9% q-o-q to +0.1% q-o-q, causing the y-o-y rate to slow from 3.8% to a still high 3.0%.
- Private spending remained weak. Household consumption grew slightly by 0.1% q-o-q in Q2, following a large drop in Q1 (-0.6% q-o-q), adding 0.1ppts to GDP. Business fixed investment again was weak, declining by 1.4% q-o-q on top of a 1.7% q-o-q decline in Q1, knocking off 0.1ppts. Construction activity, which was very weak in Q1 due to harsh winter conditions (-1.8% q-o-q), only rose minimally (+0.1% q-o-q). Government construction rebounded by 5.4% q-o-q, while construction in the non-government sector dipped by 1.0% q-o-q.
- The savings rate remained stable at 10.1%, slightly below the post-reunification average of 10.4%.

Implications

Given persistent geopolitical headwinds, the actual performance of the German economy in H1 2026 was rather strong (chart 1). Two aspects were responsible: First, net exports added to growth on the back of very strong export growth, defying a rather downbeat corporate export outlook (chart 2). This likely reflected substitution effects after the closure of the Strait of Hormuz and the global AI boom. Asian countries were hit harder due to their high dependence on mineral oil products delivered from the Middle East, alongside strong demand for defence goods. In its press release, the Federal Statistical Office (Destatis) mentioned stronger exports of chemical products, data processing equipment, electrical and optical products, and other vehicles (a category that includes some military products). However, if the past is any guide, the recent deterioration in Ifo export expectations (July) could be a warning sign that the strength in export growth might not last (chart 6).

The second driver in H1 was the government: Consumption, which grew at a very strong pace in Q1 although less so in Q2. Expenditures on health and health care, education, and social security were already up substantially in 2025 versus the previous year, and Destatis highlighted expenditures of the social security system. The system increased its social benefits in kind—particularly for statutory health

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and long-term care insurance—which appears to have been a key driver of the year-on-year growth in Q2. In contrast, spending on defence has slowed, admittedly after a very strong Q4 2025. More generally, we expect the money from the armed forces fund (created in 2022) and the defence SPV (created in 2025) to be put to work.

Government investment rebounded in Q2 but the index has only just regained its Q4 2025 level following a weather related dip in Q1 and it is too early to say for certain that this is the start of the fiscal infrastructure package hitting the ground. Bureaucratic hurdles and a lack of capacity to plan and deliver projects are likely still causing delays (chart 4). While civil engineering construction orders have moved broadly sideways since the start of 2025, we think that from H2 2026 the growth impact of the infrastructure package should become more visible. In June, civil engineering orders increased by 4% m-o-m or 17.8% y-o-y. Year to date, the Special Fund for Infrastructure and Climate Neutrality has borrowed EUR 28.2bn as of July—almost 50% of the annual target (chart 5). One clear risk, however, is that the money put aside in the SPV is used for general government expenditures instead of improving infrastructure. This could also help explain the strong government consumption numbers.

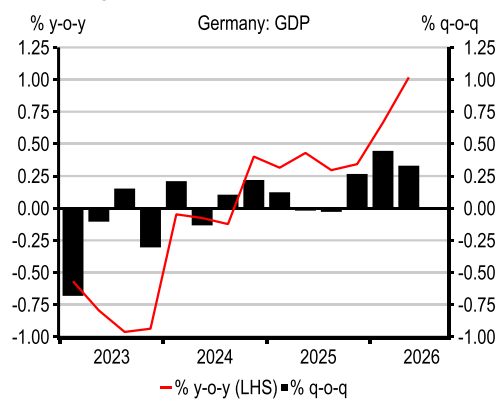
Excluding net trade and government consumption, the German economy would have shrunk in H1.

The performance of construction in Q2 was rather disappointing, given the large drop in activity in Q1 due to adverse winter weather conditions. More generally, construction should start to improve, as residential building permits are on an upward trend after bottoming out and public construction accelerates.

Outside trade and government spending, activity remained subdued. Companies were reluctant to spend, with overall capacity utilisation rates low and political uncertainty elevated. This was reflected in two considerable drops in machinery and equipment investment. This might change once geopolitical risks fade. The good news is that firms are becoming gradually more upbeat, according to the latest HCOB S&P Global Composite flash PMI (August) and the Ifo business climate. The same might happen in private consumption at some point. Households have been rather pessimistic lately, with the labour market still deteriorating (albeit modestly, due to the support of government-related job creation) and real wages being eroded by elevated inflation.

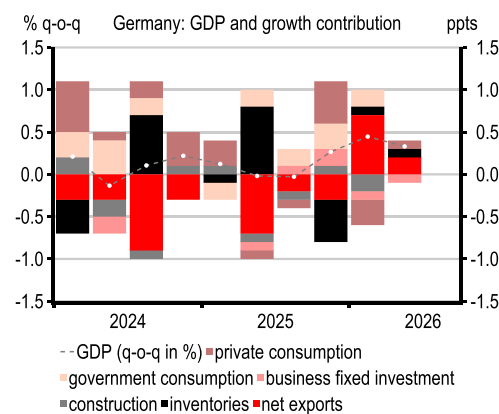
All in all, past data revisions and the unexpectedly strong performance of the German economy in H1 2026 pose a clear upside risk to our current full-year forecast of 0.2% for 2026.

1: Another solid quarter for the German economy



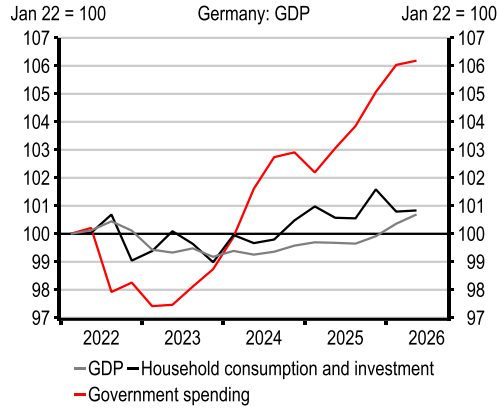
Source: Macrobond, HSBC

2: Net exports a major driver



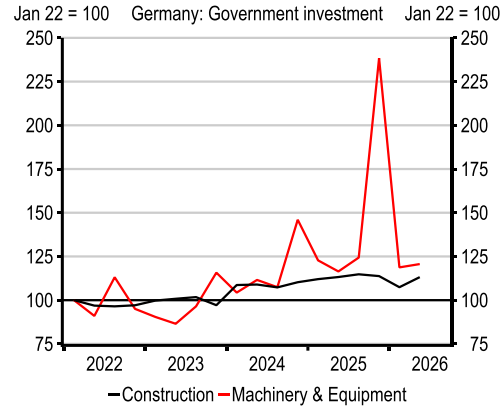
Source: Macrobond, HSBC

3: Government consumption the strongest driver



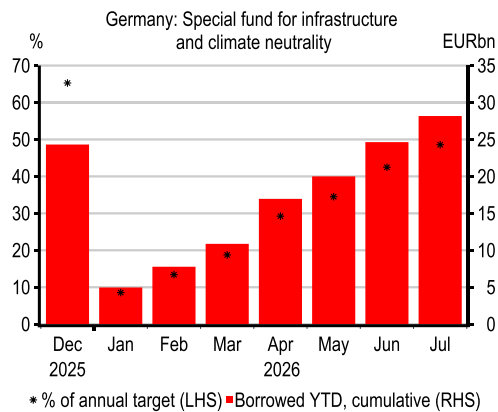
Source: Macrobond, HSBC

4: Government construction has gone sideways for more than a year now



Source: Macrobond, HSBC

5: The infrastructure SPV is broadly on track in terms of borrowing plans



Source: Macrobond, HSBC

6: Export expectations were rather weak lately



Source: Macrobond, HSBC

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